**NATIONAL COMPANY LAW TRIBUNAL**
**NEW DELHI BENCH, COURT-IV**

**COMPANY PETITION NO. (CAA)-71(ND)/2021**
**IN**
**COMPANY APPLICATION NO. CA (CAA)-57(ND)/2021**

**IN THE MATTER OF:**

**SECTION 230 to 232 OF THE COMPANIES ACT, 2013**

**AND**

**IN THE MATTER OF SCHEME OF AMALGAMATION**
**AMONGST**

**MKG Industries Private Limited**

... Petitioner No.01 /Transferor Company

AND

**Supreme Polypropolene Private Limited**

...Petitioner No.02/Transferee Company

**ORDER DELIVERED ON : 10.03.2022**

**CORAM:**

**SH. DHARMINDER SINGH, HON'BLE MEMBER (JUDICIAL)**
**MS. SUMITA PURKAYASTHA, HON'BLE MEMBER (TECHNICAL)**

**ORDER**

**PER SHRI DHARMINDER SINGH, MEMBER- JUDICIAL**

This Petition is preferred jointly by the Transferor Company and Transferee Company under Section 230 to 232 of

10/3/22

Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. MKG Industries Private Limited, (hereinafter referred to as "Petitioner-01/Transferor Company-1") was incorporated on the 20.12.1988 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at A-4, 4th Floor, Swasthya Vihar, Vikas Marg, Opp. Metro Pillar No. 77 Delhi East, New Delhi-110092 with CIN number U74899DL1988PTC034293.

3. Supreme Polypropolene Private Limited, (hereinafter referred to as "Petitioner-02"/"Transferee Company-1") was incorporated on the 31.12.1993 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 5-A/12, Ansari Road, Darya Ganj, New Delhi-110002 with CIN number U74899DL1993PTC056706.

4. The present Petition has been filed jointly by all the Transferor Company and Transferee Company. Both the 'Transferor' and 'Transferee' Companies together are called 'Petitioner Companies' hereinafter. That the Registered offices of both the Companies being in Delhi, the jurisdiction lies with this Bench.

5. From the records, it is seen that the First Motion petition was filed by the Petitioner Companies for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Companies. This Tribunal, in the First Motion Application bearing No. CA(CAA) No. 57(ND) 2021, vide Order dated 15.06.2021 dispensed with the requirement of convening the meetings of the equity shareholders and unsecured creditors of all applicant companies.

6. The Appointed date as fixed for the Proposed Scheme of Amalgamation is 01.04.2020.

7. Subsequent to the order of dispensation of meetings in relation to both the Transferor Company and Transferee Company, the Second Motion petition was moved by the Petitioner Companies in connection with the scheme of Amalgamation for issuance of notices to the Central

Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, Reserve Bank of India and to such other Objector(s), if any, and also for publication of the said Scheme. The said petition was admitted and directions were issued, vide Order dated 08.07.2021 of this Tribunal, requiring the Applicant Companies to serve notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, and also to carry out necessary publication in English and Hindi newspapers with respect to the said Scheme.

8. It is submitted by the Petitioners that in compliance of the above stated directions, the Petitioners duly filed an Affidavit of Service by confirming that the aforesaid Notices of the present Company Petition were published on 26.07.2021 in Business Standard (English) and (Hindi) newspapers along with that in Jansatta (Hindi, Delhi edition). It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities.

9. It is submitted by the Petitioner Companies that the Official Liquidator has filed its report dated 01.10.2021 in

which it has stated that it has not received any complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner and that the affairs of the Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public.

10. The Regional Director has filed its report dated 08.09.2021 in which it has been stated that they have no objections to the proposed Scheme and the same may be decided on merits as deemed fit and proper. however, the Regional Director in its report has observed that NOC from RBI was not obtained. Accordingly, vide order dated 06.10.2021 the petitioners were directed to again serve notice to RBI through e-mail. In this respect the transferee company has submitted NOC received from the RBI vide affidavit dated 11.02.2022.

11. Income Tax Department submitted that it that they don't have any objection for approval of scheme. However, in order to protect the interest of tax revenue, it is to be made clear that there shall be no impediment on the power and jurisdiction of the Income Tax Department in recovery of pending Income Tax dues, penalties etc., if any, as provided in the law.

12. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of all Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Regional Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme.

13. Accordingly, in sequel to the above facts and circumstances, sanction is hereby granted to the Scheme of Amalgamation proposed by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013.

14. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company (the Applicant / Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

15. Notwithstanding the above, at any stage any deficiency is found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to

be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

16. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Petitioner Company against tax treatment in accordance with the provisions of Income Tax Act, 1961.

17. This tribunal further directs with respect to Transferor companies and Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 1st April, 2020, the Transferor Companies No.1 shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company is entitled to including under

Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less

favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary

18. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified

Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

The Company Petition is allowed in the above terms.

-Sd-

**(SUMITA PURKAYASTHA)**
**MEMBER (T)**

-Sd-

**(DHARMINDER SINGH)**
**MEMBER (J)**